where people often panic, because they are presented with too many options and are worried they are going to make some catastrophic mistake that will cost them their hard-earned cash. If you are one of these people, a lifecycle fund (also called a target date fund) is a great option for you.

A **lifecycle fund** is an all-in-one diversified investment option that automatically reallocates your funds for you based on the date you hope to retire. For example, when you are young you should be more aggressive with your investments because if the market takes a downturn, you have plenty of time to recover. As you get older, you need to be more conservative, because you need to live off the savings you have.

A lifecycle fund takes care of this balancing act for you; when you are young it will allocate more of your funds to aggressive investments, and as you age it will automatically redistribute your investments to more conservative options.

The investment company Vanguard has great funds with low expense ratios. To choose one, you simply visit their site, investor.vanguard.com/mutual-funds/target-retirement/, and choose the year you were born, and it will provide you with the lifecycle fund that is matched with the year you will likely retire. For those who are nervous or overwhelmed by the idea of choosing their investments and allocating them properly, I cannot recommend lifecycle funds highly enough.